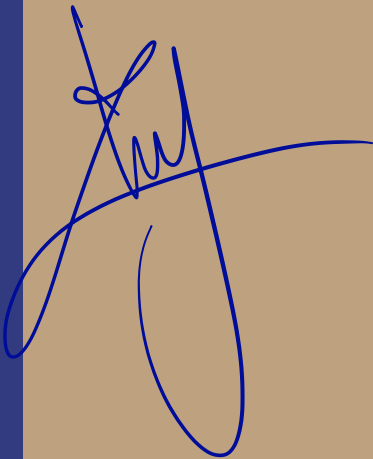


Olevel

chp:- Inflation

Intro to Macroeconomics!



Zarak
Mushtaq



Macroeconomics

→ Entire economy e.g. Pakistani economy comprising, consumers, firms, government etc!

Aggregate demand (AD) =

$$\textcircled{C} + \textcircled{I} + \textcircled{G} + \textcircled{(X - M)}$$

↓
Total demand of the economy!
or
Total income of the economy

↓
Consumption expenditure by consumers
e.g. spending on goods and services

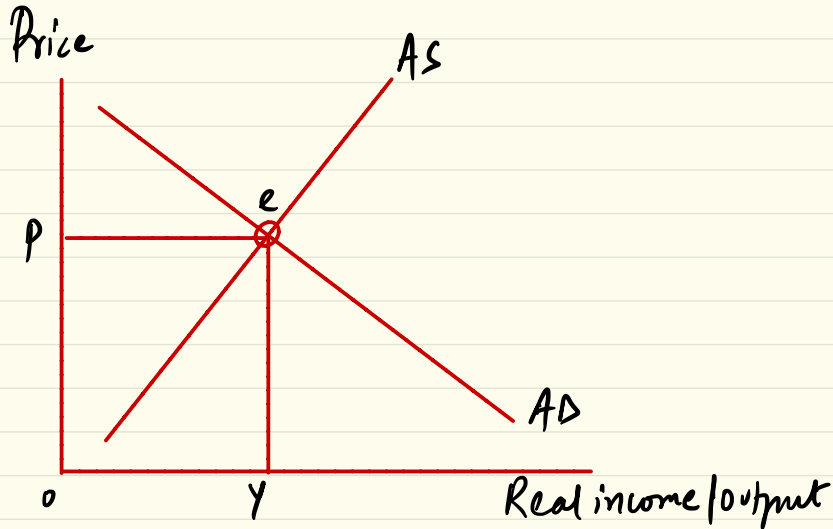
↓
Investment expenditure by firms,
e.g. hiring of factors of production, or setting up a factory

↓
Government spending or expenditure
e.g. providing subsidy or infrastructure or Transfer payments (unemployment benefits)

↓
Net exports
X: Export revenue
M: Import expenditure
i.e. Balance of trade
X > M :- Surplus
M > X :- deficit
X > M :- surplus (AD ↑)
M > X :- deficit (AD ↓)

Macroeconomic equilibrium

(AD) Aggregate demand = Aggregate supply (AS)



Questions

Marks:- 27

- Q1 Define aggregate demand and state its components? 3
- Q2 Explain how changes in consumption expenditure affects aggregate demand? 4
- Q3 Explain how changes in investment expenditure affects aggregate demand? 4
- Q4 Explain how changes in government expenditure affects aggregate demand? 4
- Q5 Define balance of trade? 2
- Q6 Explain how balance of trade surplus increase aggregate demand? 4
- Q7 Explain how balance of trade deficit decreases aggregate demand? 4
- Q8 Define macroeconomic equilibrium? 2